

Please write clearly in block capitals.

Centre number Candidate number

Surname _____

Forename(s) _____

Candidate signature _____

A-level

ECONOMICS

Paper 2 National and international economy

Predicted Paper **Time allowed: 2 hours**

Materials

For this paper you must have:

- an AQA 12-page answer book
- a calculator.

Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Write the information required on the front of your answer book. The Paper Reference is 7136/2.
- In Section A, answer **EITHER** Context 1 **OR** Context 2.
- In Section B, answer **ONE** essay.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 80.
- There are 40 marks for Section A and 40 marks for Section B.
- You will be marked on your ability to:
 - use good English
 - organise information clearly
 - use specialist vocabulary where appropriate.

Advice

- You are advised to spend 1 hour on Section A and 1 hour on Section B.

Predicted Paper — For revision purposes only [Set A — Moderate]

Section A

Answer EITHER Context 1 OR Context 2.

EITHER

Context 1

Total for this context: 40 marks

UK monetary tightening and the disinflation cycle

Study **Extracts A, B and C** and then answer **all** parts of Context 1 which follow.

Extract A: UK macroeconomic indicators, 2021–2024

Figure 1: Selected UK macroeconomic indicators

Indicator	2021	2022	2023	2024
Real GDP growth (% , annual)	7.6	4.3	0.1	0.6
CPI inflation (% , annual avg.)	2.6	9.1	7.3	3.2
Unemployment rate (%)	4.5	3.7	4.2	4.4
Bank Rate (% , year-end)	0.25	3.50	5.25	4.75
Real wages growth (%)	-0.4	-3.1	-1.0	+1.8

Source: Office for National Statistics / Bank of England, 2024

Extract B: The Bank of England's tightening cycle

The Bank of England raised Bank Rate from 0.1% in December 2021 to a peak of 5.25% by August 2023 in response to surging inflation. CPI inflation peaked at 11.1% in October 2022 before falling back to 4.0% by December 2023 and 2.3% by mid-2024. GDP growth slowed sharply, the UK narrowly avoided a technical recession in late 2023, and real wages fell for the longest sustained period since records began. Unemployment remained low at 4.2%, suggesting a degree of labour-market resilience despite the tightening cycle.

The Monetary Policy Committee (MPC) identified multiple drivers of the inflation shock: a global energy price surge following Russia's invasion of Ukraine in February 2022, post-pandemic supply chain bottlenecks, and second-round effects as wages and prices began to chase each other. The MPC's 2% CPI inflation target gave it a clear mandate to raise rates, although critics argued the Bank had acted too slowly at the start of the cycle and risked over-tightening at its peak. By 2024, with inflation approaching target, the Bank had begun to cut rates cautiously.

Source: News reports, December 2024

Extract C: Transmission lags and household debt

The MPC has repeatedly noted that monetary policy operates with "long and variable lags", often thought to be 12–18 months from rate change to peak effect on output and inflation. UK household debt-to-income remains above 130%, meaning small changes in interest rates can have a disproportionately large effect on disposable incomes. Approximately 1.6 million fixed-rate mortgages were due to refinance during 2024, creating a delayed effective tightening on household spending as borrowers rolled onto higher rates.

Economists debate the channels through which higher interest rates affect the economy. Beyond mortgage payments, higher rates raise the cost of business borrowing, discourage investment, and may strengthen the exchange rate — reducing import prices but also harming export competitiveness. The impact on the real economy is not uniform: younger households with high mortgage debt bear the largest costs, while older households with savings may benefit from higher interest income. Supply-side inflation drivers — such as the 2022 energy shock — are arguably less responsive to demand-management tools, raising questions about whether monetary policy alone is the appropriate response to cost-push inflation.

Source: News reports, November 2024

- 0 1** Using the data in Extract A (Figure 1), calculate the percentage-point change in the UK Bank Rate between the end of 2021 and the end of 2023. **[2 marks]**
- 0 2** Explain how the data in Extract A (Figure 1) show that UK households experienced a fall in their real incomes during the period 2021–2023. **[4 marks]**
- 0 3** Extract B (lines 1–2) states that 'The Bank of England raised Bank Rate from 0.1% in December 2021 to a peak of 5.25% by August 2023 in response to surging inflation.'
[9 marks]

With the help of an AD/AS diagram, explain how an increase in the Bank Rate is likely to reduce the rate of inflation in the UK.

- 0 4** Extract C (lines 11–13) states that 'Supply-side inflation drivers... are arguably less responsive to demand-management tools, raising questions about whether monetary policy alone is the appropriate response to cost-push inflation.'
[25 marks]

Use the extracts and your knowledge of economics to evaluate the effectiveness of monetary policy as a tool for controlling inflation in the UK.

Do NOT answer Context 2 if you have answered Context 1.

OR

Context 2

Total for this context: 40 marks

UK fiscal policy and government debt

Study Extracts D, E and F and then answer **all** parts of Context 2 which follow.

Extract D: UK public finances, 2018–2024

Figure 2: UK fiscal indicators

Year	Public sector net borrowing (£bn)	Net debt (% of GDP)	Debt interest spending (£bn)	Tax revenue (% of GDP)
2018/19	43	80.7	48	32.8
2019/20	57	84.0	48	33.0
2020/21	323	103.2	39	32.9
2022/23	131	96.5	111	35.3
2024/25	87	97.1	104	36.4

Source: HM Treasury / Office for Budget Responsibility, 2024

Extract E: Fiscal pressures and government choices

UK government debt rose sharply during the Covid-19 pandemic, funded by unprecedented peacetime borrowing to support businesses and households. Net debt exceeded 100% of GDP for the first time since 1961. Since the pandemic, higher interest rates have pushed debt-interest spending above £100 billion per year — now a larger share of government spending than the defence budget. The Office for Budget Responsibility projects that without further fiscal consolidation, debt will continue to rise through the 2030s.

The UK's fiscal rules currently require debt to be falling as a share of GDP in the fifth year of the forecast, and that public sector net borrowing does not exceed 3% of GDP. These rules have been revised several times. Critics argue that rigid rules constrain the government's ability to respond to shocks — such as the Covid-19 pandemic or the cost-of-living crisis — when Keynesian demand management may be needed. Others argue that credible rules are necessary to anchor investor expectations and keep borrowing costs low.

Source: News reports, October 2024

Extract F: The debate over fiscal sustainability

Economists disagree about how much government debt is sustainable. Classical economists argue that persistent borrowing "crowds out" private investment, raises long-term interest rates, and burdens future generations with the cost of debt service. They argue for tight fiscal rules and early consolidation. Keynesian economists argue that with global demand weak and private investment depressed, government borrowing to fund productive public investment can raise long-run growth and improve the debt-to-GDP ratio over time.

The choices facing policymakers are difficult. An ageing population will raise health and pension spending; net-zero commitments require large infrastructure investment; defence spending is under pressure to rise. Without higher taxes or growth, further borrowing or spending cuts are unavoidable. A 2024 Institute for Fiscal Studies report concluded that the UK faces a "triple choice" between accepting lower service quality, paying higher taxes, or allowing debt to rise further. The political sensitivity of each option means that fiscal decisions are often deferred — a pattern some economists describe as a form of government failure.

Source: News reports, November 2024

0 5 Using the data in Extract D (Figure 2), calculate the percentage change in UK government debt interest spending between 2018/19 and 2024/25. Give your answer to one decimal place. **[2 marks]**

0 6 Explain how the data in Extract D (Figure 2) suggest that the UK government's fiscal position has become more constrained since 2018/19. **[4 marks]**

0 7 Extract E (lines 7–8) states that 'without further fiscal consolidation, debt will continue to rise through the 2030s.' **[9 marks]**

With the help of an AD/AS diagram, explain how an increase in government spending, financed by borrowing, may affect UK real GDP and the price level in the short run.

0 8 Extract F (lines 8–10) states that 'Keynesian economists argue that with global demand weak and private investment depressed, government borrowing to fund productive public investment can raise long-run growth and improve the debt-to-GDP ratio over time.' **[25 marks]**

Use the extracts and your knowledge of economics to evaluate the view that the UK government should prioritise reducing its debt-to-GDP ratio over stimulating economic growth.

Section B

Answer ONE essay from this section.

Each essay carries 40 marks.

EITHER

Essay 1

UK productivity growth has averaged only around 0.5% per year since 2008, compared with roughly 2% per year in the decades before the financial crisis. Successive governments have announced plans to boost growth through a combination of infrastructure investment, tax reform, skills development and regulatory change. Economists disagree about whether demand-side or supply-side policies offer the best route to raising long-run economic growth.

- 0 9** Explain, with the aid of a diagram, how supply-side policies can increase the long-run potential output of the UK economy. **[15 marks]**
- 1 0** Evaluate the view that supply-side policies are always more effective than demand-side policies in raising the UK's long-run rate of economic growth. **[25 marks]**

OR

Essay 2

Although the UK unemployment rate has remained low at around 4% for much of the 2020s, concerns about the quality of employment, levels of economic inactivity, and regional variations in labour market performance remain. Economic inactivity among working-age adults rose from around 8.5 million before the Covid pandemic to over 9.3 million by 2024, driven in large part by long-term sickness.

- 1 1** Explain the main causes of unemployment in the UK economy. **[15 marks]**
- 1 2** Evaluate the view that government intervention to reduce unemployment in the UK should focus on increasing the demand for labour rather than on improving its supply. **[25 marks]**

OR

Essay 3

In 2023 the UK ran a current account deficit of approximately 3.7% of GDP, a persistent feature of the UK balance of payments over the last three decades. Some economists see the deficit as evidence of long-run competitiveness problems; others regard it as a natural consequence of the UK's position as a net importer of capital and exporter of services.

- 1 3** Explain the main causes of a current account deficit on the UK balance of payments. **[15 marks]**
- 1 4** Evaluate the view that a persistent current account deficit is a serious economic problem that requires urgent government action to correct. **[25 marks]**

END OF QUESTIONS